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The Alloy and the Ratchet

Michael Saylor's case for digital credit, annotated, tested and edited by Ratty2Tails



Edited by Ratty2Tails · Based on Michael Saylor in conversation with Jeff Park, ParaFi Investor Day 2026 · Commentary and opinion, not financial advice

TL;DR

- Michael Saylor argues that Bitcoin is *digital capital*, and that credit instruments built on top of it (*digital credit*) can do for Bitcoin what the consol and the rente did for gold.
- His flagship product, STRC, pays about 12% and is described as six times over-collateralised. It lost its par value in the summer, and the fix teaches the real lesson: the market wanted dollars, not more Bitcoin.
- The coming vote on 28 October would move the dividend from twice monthly to *daily*. The idea is liquidity, lower volatility and a bridge into tokenised markets.
- The structure is a volatility-and-return tranching machine. Credit holders get low volatility and a fixed coupon. Equity holders get everything left over, in both directions.
- Editor's view: the engineering is clever and honestly explained. But it is a reflexive, dollar-denominated credit pyramid on a bearer asset, and that sits uneasily beside the sound-money case for the asset itself.

INTRODUCTION AND SCOPE

The rat goes to a conference

This paper is an edited and annotated reading of a fifteen-minute talk and a short fireside chat given by Michael Saylor, executive chairman and co-founder of Strategy (formerly MicroStrategy), at ParaFi Investor Day 2026. He was introduced by Jeff Park, who then interviewed him. The source is the public YouTube transcript.

I have done three things with it. I have compressed the talk into a connected argument, reordered it where the argument required, and added editorial notes in shaded boxes. Where a number appears, it is the speaker's number unless I say otherwise. I have not audited his figures, and in a few places I flag claims that deserve an audit. Nothing here is investment advice. Preferred shares, perpetuals and leveraged Bitcoin vehicles can lose money, and the speaker is, naturally, the chief salesman of the thing he describes.

Why read it at all? Because this is the most complete public statement of a thesis that now moves tens of billions of dollars: that the Bitcoin standard will be built not by individuals holding coins, but by corporate balance sheets issuing yield-bearing paper against them. Whether you cheer or wince at that, you should understand how it works.

I

Digital capital: the scarce thing robots cannot make

Saylor opens with Bitcoin as *digital capital*, a store of wealth that he says has reached global consensus. He puts it at roughly two-thirds of crypto market capitalisation, about 80% of its liquidity and about 90% of its economic value. The price, he says, has bounced off its 200-day moving average about three months ago and is back at a small premium.

His list of headwinds is candid and macro in flavour: restrictive trade policy, restrictive foreign policy, restrictive monetary policy, plus the AI buildout acting as a trillion-dollar gravitational pull on capital. His reasoning is that Bitcoin is *pure capital*, so anything bad for risk assets is worse for Bitcoin. That is an honest admission, and a useful corrective to the lazy 'uncorrelated hedge' story.

~2/3
of crypto market cap is Bitcoin (speaker)

~4%
of all Bitcoin that will ever exist held by Strategy (speaker)

~$70bn
in Bitcoin plus ~$5bn in cash (speaker)

THE ROBOT ARGUMENT

The most interesting passage is philosophical. If robots and software drive the marginal cost of goods and cognitive services toward zero, then prices of anything a machine can produce will collapse. Good for consumers; terrible for producers. An investor should therefore want something a robot cannot make: three acres of Palm Beach beachfront, a trophy sports franchise, or Bitcoin, which he calls scarce desirable property in cyberspace. Robots can build more of anything tangible. They cannot build more Bitcoin.

I find this the strongest part of the case, and it rhymes with the stock-to-flow logic that runs through this series. Scarcity that is enforced by code rather than by geology or by a committee is a new kind of thing, and a deflationary technology wave makes it more interesting, not less.

> *Anything a bot can produce sees its marginal value go to zero. Buy what a robot cannot make.*
>
> MICHAEL SAYLOR, PARAPHRASED

TAILWINDS: BANKS, TOKENS AND THE RULE-MAKERS

Saylor names three tailwinds. First, bank adoption. His arithmetic is that every $10 billion of credit created against Bitcoin absorbs about one year of new supply, so $100 billion of credit on a trillion-dollar asset class would be enormously bullish. Banks will only create that credit once they can custody the coin, and he points to an index tracking bank announcements that has moved from 9% to 34%. Second, the tokenisation of securities, which lets credit, equity and capital be cross-traded and cross-collateralised. Third, regulatory guidance: stablecoin rules from the Treasury, a path for tokenised securities from the SEC, and a green light for crypto

derivatives from the CFTC. He treats the stalling of the broad Clarity legislation, 600-odd pages of restrictions in his telling, as no great loss. He would rather have a one-page bill of rights and positive rules from regulators.

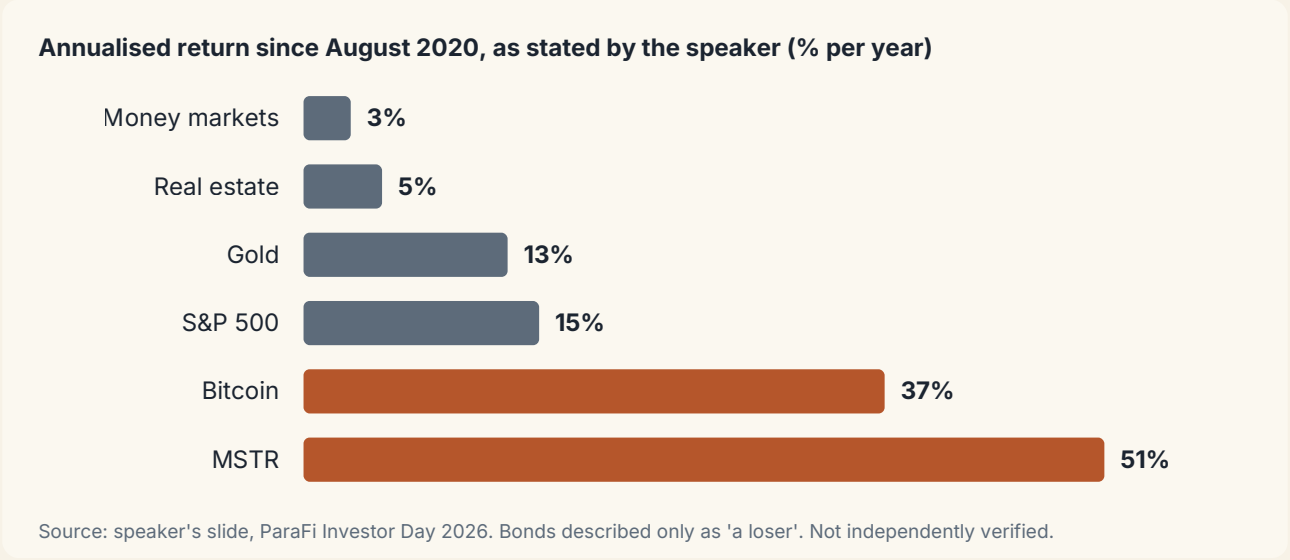


Figure 1. The speaker's headline chart: asset returns since Strategy's first Bitcoin purchase in August 2020, a window that starts at a very favourable moment for Bitcoin.

> **EDITOR'S NOTE**
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> Start dates are destiny. A window that begins when Bitcoin was cheap and ends near the present will flatter it, and flatters the leveraged equity wrapped around it even more. Notice also that the $10-billion-equals-a-year-of-supply claim is a statement about demand, not about safety. The same arithmetic runs in reverse in a drawdown.

II

Digital credit: the consol reborn

This is the heart of the talk. Saylor reminds the room that the Bank of England raised capital, held gold, and issued credit against it. If you own a mountain of gold you can sell paper that pays three or five per cent for ever. That is the British consol, and the French did the same with the rente. Western civilisation's credit system, he says, was a gold-credit system that lasted until Nixon closed the gold window in 1971, a run of some three hundred years.

His inference is simple. If Bitcoin is digital gold, then digital credit is credit built on digital gold. If gold rises ten per cent a year you can sell a bond paying five. If you expect Bitcoin to rise twenty a year, you can sell one paying ten. And so the product: STRC, a perpetual preferred stock sold to the public and listed on Nasdaq, with a target price of $100 a share. The par value matches the old British consol, which he is happy to note.

WHAT THE SPEAKER CLAIMS

About 12% yield today. Roughly $8.8 billion outstanding. About $150 million traded a day, which he says makes it the most liquid preferred stock in the world. Collateral of $6.20 of Bitcoin for every $1 of STRC, plus cash. The yield is a return of capital, which he says is worth about 24% pre-tax equivalent to a New York City resident.

WHAT TO CHECK

Whether 'six times collateralised' counts only Bitcoin at today's price. Whether a return-of-capital treatment is durable and fits *your* tax situation. Whether the dividend is discretionary and variable, which is how the speaker describes it. And whether liquidity holds in a drawdown, not a bull market.

EDITOR'S NOTE: ON THE HISTORY

The consol analogy is rhetorically lovely and historically loose. The consol was a perpetual *sovereign* annuity, backed by the taxing power of the state, not by a mountain of gold. The Bank of England's note issue was only ever partly covered by bullion, which is precisely why the gold standard suffered suspensions, from 1797 to 1821 and again in the First World War, and why the 1925 re-peg that this series has examined went so badly. Gold-backed credit was always fractional. The honest comparison for STRC is not 'gold plus consol', but 'a fractional reserve with unusually transparent reserves'. That is a more modest claim, and a more accurate one.

He then draws a three-way menu for the saver. If you need your money within four months, buy a money market fund. If you have four months to four years, digital credit might do, because it should return to par within months if it slips. If you will not need the money for four years or more and you trust no one, buy Bitcoin. If you want to outperform Bitcoin, buy the digital equity.

III

The alloy: what the summer taught

The most valuable five minutes of the talk are an admission. STRC fell away from par at the beginning of the summer. The company stepped in with a large dollar dividend reserve, described as covering about three years, then ran a buyback of about $1.5 billion to pull the price back. It now trades within a few cents of par. By the time of the talk the cash reserve is described as around three and a half years of dividends, dedicated to dividends and no other use.

The lesson, in his words, is that the market values *dollar duration* more than Bitcoin duration. Credit investors would rather see three years of dollars than thirty years of Bitcoin. The difference between ten years and a hundred years of Bitcoin coverage is, he says, probably immaterial. The difference between five months and three years of cash is huge. So digital credit is an *alloy* of capital and currency. A 98/2 mix of Bitcoin and cash tends to buckle. A 70/30

mix is closer to stainless steel, which owes its strength to a modest dose of chromium. His company are, he says, metallurgists, developing the strongest possible credit in dialogue with the market, and if they get it wrong, they find out.

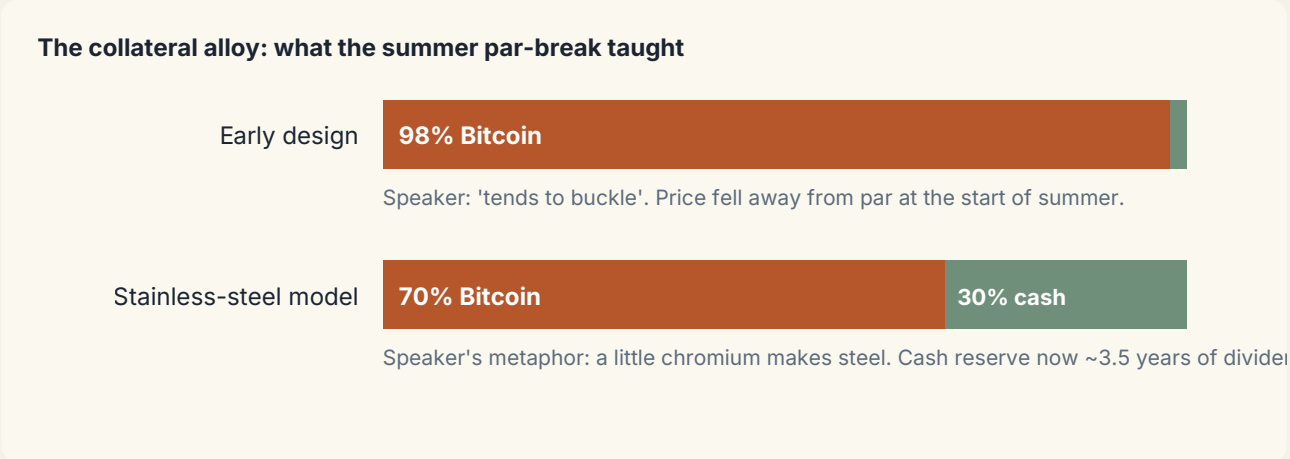


Figure 2. The collateral alloy as the speaker describes it. The proportions are illustrative of his metaphor, not a disclosed balance sheet.

> **EDITOR'S NOTE: THE IRONY**
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> Read that again as a sound-money person. The engineers of the Bitcoin credit machine discovered that, when stress arrived, the thing that restored confidence was *US dollars in a reserve account*. The market's revealed preference for a credit instrument was not the hardest asset on earth; it was cash. That is not an indictment of Bitcoin. It is an indictment of the idea that you can securitise a volatile asset into a stable coupon without bringing in a stabiliser from outside the system. Every central bank that ever held a gold reserve learned the same thing about foreign exchange.

IV

The clock: from quarterly to daily

If the alloy is the metallurgy, the dividend schedule is the plumbing, and Saylor's account of its evolution is a small masterclass in market microstructure. Traditional preferreds pay quarterly. The problem is that everyone waits until the last moment to buy, the price drops by the dividend after the record date, and the market is effectively frozen for most of the quarter. A monthly dividend, introduced for retail with STRC, made the instrument about twenty times as liquid, he says. A twice-monthly schedule followed, because people are paid every two weeks, and because a ten-day Nasdaq notice rule seemed to cap the frequency. A rival issuer, Strive, then found a way to pay every business day, and its turnover reportedly tripled, tapping new pools of capital: traders who could sell one product, collect ten days of dividends elsewhere, and trade back.

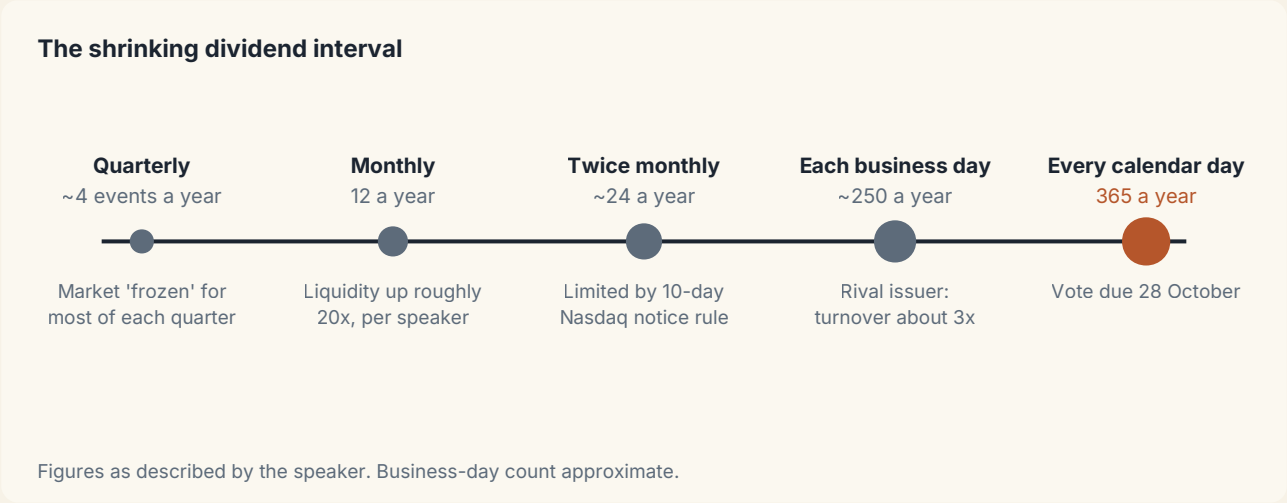


Figure 3. Each step shortens the interval and shrinks the ex-dividend price drop. A one-cent dividend on a $100 base moves the price one cent, not fifty.

The next step is a daily dividend, on every calendar day, with the shareholder vote of MSTR holders due on 28 October. The thesis is that the world is moving toward tokenised assets that trade 365 days a year, and an instrument that pays every day makes it rational to buy on Saturday and sell on Sunday. Daily dividends, he argues, increase liquidity, strip volatility, add optionality, attract new pools of capital and make the instrument natural for tokenised and DeFi use. Jeff Park joked that it makes his dividend-capture trading harder, and that an AI agent would soon be doing it for him. I would not bet against that.

The end of the road, Saylor says, is *digital money*: a dollar-pegged instrument with near-zero volatility paying six to eight per cent, liquid within two or three days, which would give holders of roughly $350 billion of non-yielding stablecoins a reason to move. He is candid that this is a goal, not a product.

> **EDITOR'S NOTE**
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> Notice the direction of travel. Every innovation on this timeline is about making a long-dated, volatile claim *feel* like cash. That is the oldest game in banking: maturity transformation, sold as liquidity. Daily payment may genuinely improve price behaviour. It does nothing to change what the instrument is when the music stops.

V

Digital equity and the ratchet

Credit is only half the machine. *Digital equity*, in Saylor's definition, is what is left after you subtract the cost of the credit from the return on the capital. If you promise credit holders 12% and the Bitcoin returns 30%, the extra 18% accrues to the common stock. His company, he says, is 'just a structured finance company'. It either amplifies volatility and performance for equity and derivatives buyers, or strips volatility and extracts yield for credit buyers.

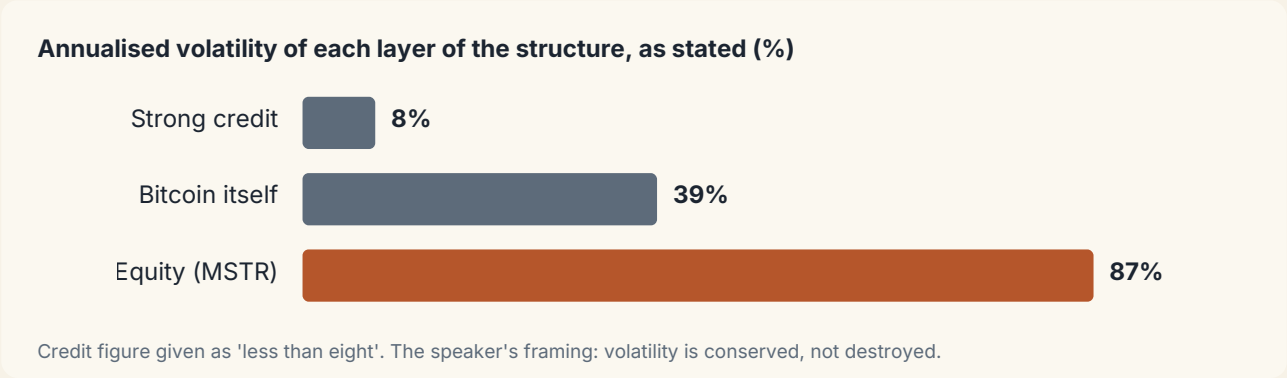


Figure 4. Volatility is conserved. What is stripped out of the credit tranche reappears in the equity tranche.

The key line of his model is the hurdle. Raise $10 billion of credit, beat a hurdle rate of roughly 10%, and you are ahead from day one. If Bitcoin compounds at 20%, you make another $10 billion over seven years, and at 30%, another $20 billion. A bank levers up on mezzanine capital to grow earnings per share. Strategy levers up on the same capital to grow *Bitcoin per share*.

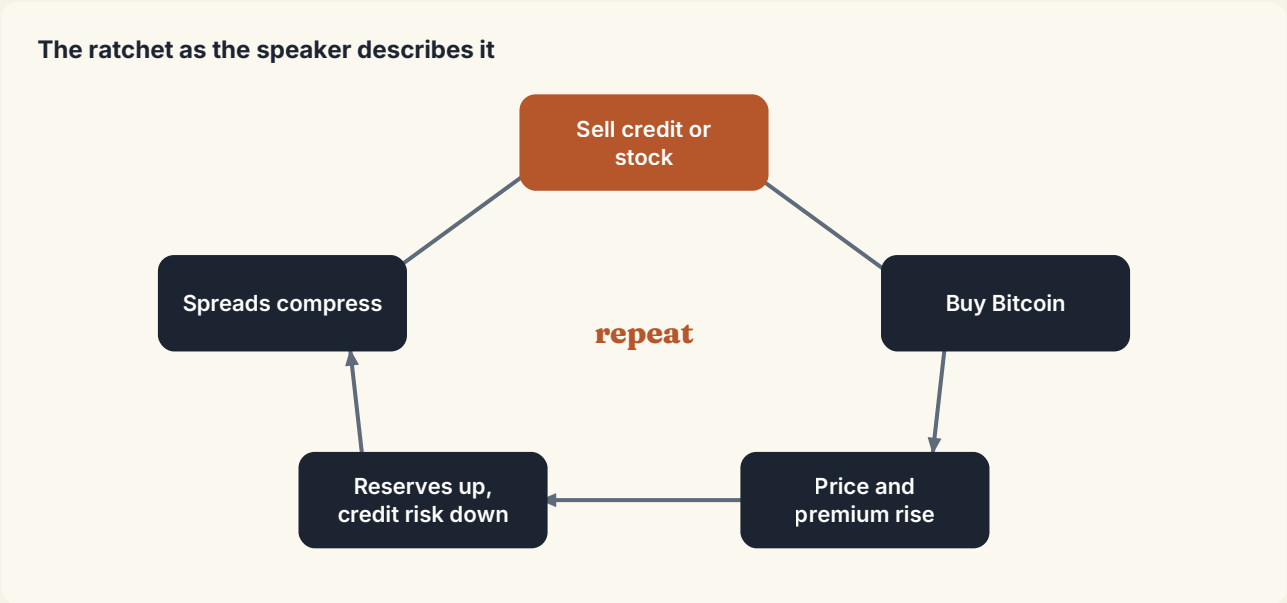


Figure 5. The 'triple flywheel': credit, common stock and Bitcoin price feeding each other.

He is explicit about the scale of the ambition. Capital raised: $21 billion this year, $25 billion last year and $24 billion the year before. He calls the system a one-and-a-half to two trillion dollar system today, and sees no reason it could not reach ten, twenty, fifty or a hundred trillion. A company that was worth $600 million six years ago is, in his telling, an $80 billion enterprise today.

EDITOR'S NOTE: ON REFLEXIVITY

A flywheel spins both ways. The same loop that turns a rising price into more collateral, tighter spreads and a bigger premium turns a falling price into thinner coverage, wider spreads and a collapsing premium. Saylor knows this; the summer par-break was a small rehearsal. The honest summary of the equity layer is that it is a leveraged call option on Bitcoin's compound growth rate, funded by selling a floor to other people. That is a legitimate thing to build. It is not a risk-free ratchet. A ratchet holds only if somebody keeps cranking.

VI

The regulators' gate

In the fireside chat Park pressed on non-Bitcoin assets. Saylor's answer is the most Austrian passage in the talk, in its own way. Value in digital finance, he says, comes from real functions: issuing and moving a digital dollar at the speed of light, running perpetual derivatives, operating exchanges that trade securities, commodities and currencies 24/7. But *who gets paid* for those functions is a matter of regulation. Change the rules and the value flows to a bank, to the state, to a company or to a token. Regulators could permit tokenisation of a security while forbidding you to custody or transfer it, in which case the beneficiary is the bank you have used for fifty years, not you.

He also explains why nobody offers credit on equity indices: the Investment Company Act of 1940 prohibits it for the relevant fund structures, which is why, he says, nobody builds a 7%-coupon credit against the S&P. Bitcoin sits outside that net, and so the structure is possible.

EDITOR'S NOTE

That is a perfectly good point, and I would underline it. The product exists in its current form partly because of a regulatory seam. Seams get stitched. Anyone investing on the premise that rules will stay permissive is making a political forecast as well as a financial one.

VII

Magic, obsolescence and the founder's advice

Asked for advice to founders, Saylor turns to AI. 2026, he says, is an inflection point: a year ago the models were good, but now a job handed to an AI beats the ten smartest people you know locked in a room for a month. The corollary, which he calls anxiety-inducing, is that textbooks, degrees, careers and entire professions are heading toward obsolescence, and with them every product and service of the last hundred years, which can be reinvented. His advice is to find the *magic product*: something so obviously wanted that it sells with a sales force of three, like Instagram or the iPhone. If you must hire 10,000 people to knock on doors, it is not magic.

I will leave that bold forecast to stand on its own, with one editorial remark. If the machines really do collapse the price of everything they can make, the value of a scarce, machine-unmakeable monetary asset rises in relative terms. That is the through-line of this entire talk, and it is also the through-line of this series' *Machine* papers.

VIII

Editor's reckoning

Here is where I come down, after a careful read.

WHAT IS GENUINELY STRONG

The scarcity argument stands. The transparency argument stands: a collateral pool that anyone can mark to market every few seconds, even on a Sunday, is a real improvement on opaque private credit. The willingness to publish the failure mode, the summer's par-break and the response, is more candour than most issuers offer. And the daily-dividend logic is sound microstructure.

WHAT DESERVES SCEPTICISM

First, **reflexivity**: the system's health depends on the premium on its own equity and the price of its collateral, which are the same bet. Second, **dollar dependence**: the product is denominated in dollars, stabilised by dollars and sold on its spread to Treasuries. It is a Bitcoin-collateralised dollar instrument, which is a fine thing, but it is not a Bitcoin standard. Third, **the Cantillon question**: who receives the new credit first, and at whose expense? Early holders of the equity enjoy the premium; late buyers fund the amplification. Fourth, **the maths of the coupon**: 12% on $8.8 billion is over a billion dollars a year for this one instrument, which must be earned, sold from reserves or funded by issuing more stock. A dividend reserve of three and a half years buys time. It does not buy a business model on its own.

THE SOUND-MONEY TEST

Bitcoin's monetary promise is that nobody can issue more of the base asset. Digital credit's promise is that you can issue as much *paper claim on it* as the market will buy. Both can be true at once, and the history of every reserve-based system says the second tends to grow faster than the first. If digital credit stays small relative to the underlying, it is a clever instrument. If it grows to the trillions the speaker imagines, it will recreate in code the leverage cycle that the code was written to escape. My own bias, as a sound-money rat, is toward the coins themselves, and toward watching the credit layer with interest and a notebook. That is an opinion, not advice.

SUMMARY

The shape of the argument

- Bitcoin is scarce digital capital, and an AI-driven deflation of everything makeable makes scarcity more valuable.
- Digital credit borrows the logic of the consol: sell a fixed coupon against a collateral pool of a rising asset.
- The summer par-break showed the market wants dollar duration. The design response is a roughly 70/30 'alloy' of Bitcoin and cash reserves.
- Daily dividends are a microstructure upgrade aimed at tokenised, 24/7 markets. A vote is due 28 October.
- The structure tranches volatility. Equity holders take the amplified risk and the leftover upside.
- The thing to watch is not whether the engineering works in a bull market. It is whether coverage, premium and liquidity hold together in a long bear.

SOURCES AND NOTES

References

1. Michael Saylor and Jeff Park, *ParaFi Investor Day 2026*, YouTube, transcript of talk and fireside chat (youtube.com/watch?v=m1oXP7foM6E). All speaker figures in this paper derive from this transcript and are unaudited.
2. Strategy (MicroStrategy) investor materials, for STRC terms, coverage and dividend mechanics. Readers should check current filings rather than rely on a conference talk.
3. Investment Company Act of 1940, as cited by the speaker on the prohibition of leveraged credit structures on equity portfolios.
4. Bank of England history and the consolidated annuities (consols) of 1751, and the French rente, for the historical context in Section II.
5. Earlier papers in this series: *The Cantillon Effect*, *Financial Repression and Fiscal Dominance* and *The Real and the Imaginary*, for the concepts of first-receiver advantage, fiscal dominance and reflexivity used here.

Edited by Ratty2Tails for The Ratty2Tails Papers. This paper is commentary and opinion based on a third-party public talk. It is not investment, tax or legal advice. Quotations are paraphrased or kept brief. Speaker figures are as stated and have not been independently verified.